

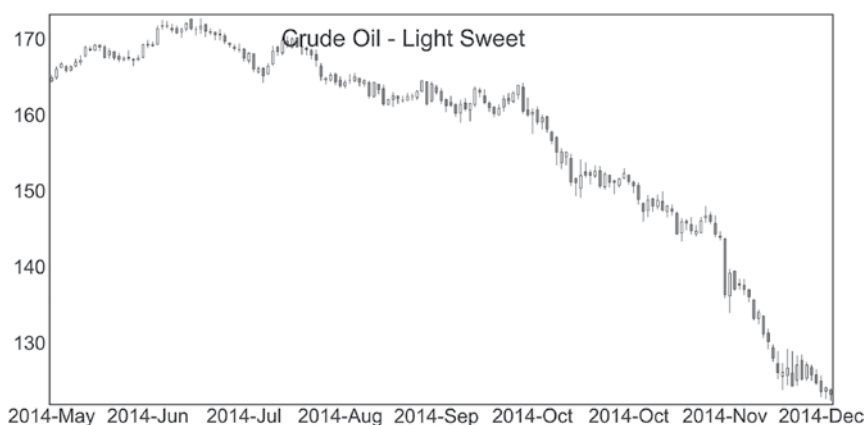


FIGURE 6.79 Short Crude Oil.

A major contributor to the success of 2014 was the bear market in the energies. A quick look at Figure 6.79 shows you why. After the oil price started falling in June, it just didn't stop. Month after month, it just kept falling, and that's just the kind of situation we're set up to profit from.

Making such a huge gain and with a substantial asset base, we should see some welcome revenue this year. But bear in mind that we don't get paid performance fee until we exceed the previous high-water mark, so about half of the performance does not get us any money. Luckily we make more than the 25% or so we need to return to the HWM and we do get a fair chunk of performance fees this year.

The interest rates contribution is really low still and can almost be approximated to zero (Tables 6.51 and 6.52). But with 53% return, even after deducting our fees, investors get to keep 47% and they probably have a renewed confidence in our abilities to generate strong long-term results. If only every year could be like this one.

TABLE 6.51 Sector results 2014

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	2.0	12.0	-3.2	-8.7	20.4	22.5
Short	16.3	3.9	25.2	-13.6	-0.8	30.9
Total	18.3	15.8	21.5	-22.3	19.3	52.6